

IBM (IBM US)

Reduce: Impressive margin guidance but better value elsewhere

- ◆ IBM cut its 2026 constant currency revenue guidance but still guided to non-GAAP PBT margin improving 100bp y-o-y
- ◆ Increasing our 2026-30e non-GAAP EPS estimates by 1-2% to reflect higher-than-expected margin guidance
- ◆ TP cut to USD174 (from USD175) despite 1-2% higher EPS estimates due to lower multiples. Maintain Reduce

Impressive margin guidance: As pre-announced on 14 July 2026, 2Q26 revenue rose 1% y-o-y cc to USD17,161m (1Q26: 6%). The company cut its 2026 cc revenue growth guidance to 4%-5% from more than 5% previously. Despite the cut to revenue guidance, the management maintained it expects 2026 non-GAAP profit before tax margin to rise by 100bp y-o-y. 2Q26 non-GAAP profit before tax margin rose 30bp y-o-y but it was largely a result of a favourable USD280m non-GAAP other income in 2Q26 (2Q25: USD65m). The extent to which the expected margin improvement comes from one-off items such as other income is a key monitorable.

Software segment disappoints: Software segment cc growth slowed to 4.6% from 8% in 1Q26. Organic growth slipped to 0% y-o-y in 2Q26 (1Q26: we estimate 7%). Management cut 2026 cc revenue growth guidance to 6-8% from more than 10% previously. Transaction processing subsegment dipped 9% y-o-y (cc) (1Q26: +2%). The management expects low- to mid-single-digit % decline in 2H26 but suggested most of the missing revenue is likely delayed and not lost. Hybrid cloud subsegment cc growth accelerated to 11% y-o-y in 2Q26 (1Q26: 10%). Automation segment cc growth slipped to 3% in 2Q26 (1Q26: 7%). Reported growth for the data subsegment accelerated to 19% in 2Q26 (1Q26: 16%), but, net of c18-19pp inorganic contribution from the Confluent acquisition in 2Q26, organic growth slowed considerably.

Infrastructure segment inflecting: Infrastructure cc revenue dipped 7% y-o-y in 2Q26 (1Q26: +12%) as the new z17 series entered its fifth quarter since launch. The weakness in the mainframes subsegment was partially offset by a strong distributed infrastructure subsegment where revenue rose 37% y-o-y (1Q26: 13%), on a low base. The management now expects infrastructure segment cc revenue to rise by low-single-digit % in 2026 (previously low-single-digit decline) largely due to stronger distributed infra subsegment.

Expensive valuation: IBM shares are trading at 14.2x CY27e non-GAAP EV/EBIT (sector median: 13.9x). We expect IBM's non-GAAP EPS to rise at a CAGR of 6.7% over CY26-28e (sector median 19.2%). Our TP of USD174 (was USD175) is based on our SOTP valuation. Our TP implies 15.4% downside, and we maintain a Reduce rating as we see better value elsewhere.

Equities IT Services

United States



MAINTAIN REDUCE

TARGET PRICE (USD)

174.00

PREVIOUS TARGET (USD)

175.00

SHARE PRICE (USD)

205.77

(as of 22 Jul 2026)

UPSIDE/DOWNSIDE

-15.4%

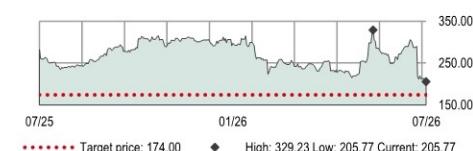
MARKET DATA

Market cap (USDm)	193,400	Free float	100%
Market cap (USDm)	193,400	BBG	IBM US
3m ADTV (USDm)	2,815	RIC	IBM.N

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	11.59	12.16	12.30	13.86
HSBC EPS (prev)	11.59	11.56	12.10	13.60
Change (%)	0.0	5.2	1.7	1.9
Consensus EPS	11.35	12.30	13.11	14.29
PE (x)	17.8	16.9	16.7	14.8
Dividend yield (%)	3.3	3.3	3.3	3.3
EV/EBITDA (x)	13.2	14.4	12.6	11.3
ROE (%)	36.6	32.8	29.3	29.2

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Bank Middle East Limited, DIFC

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Financials & valuation: IBM

Reduce

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	67,535	70,025	71,325	75,081
EBITDA	16,843	15,619	17,199	18,214
Depreciation & amortisation	-5,022	-3,605	-4,319	-3,655
Operating profit/EBIT	11,821	12,014	12,880	14,559
Net interest	-1,935	-1,937	-2,043	-2,097
PBT	10,329	10,735	11,155	13,038
HSBC PBT	12,713	13,744	14,067	15,950
Taxation	242	-1,584	-1,785	-2,086
Net profit	10,571	9,151	9,370	10,952
HSBC net profit	10,994	11,607	11,817	13,398
Cash flow summary (USDm)				
Cash flow from operations	13,193	16,772	15,718	17,737
Capex	-1,617	-1,574	-1,600	-1,600
Cash flow from investment	-10,302	-11,770	-1,600	-1,600
Dividends	-6,254	-6,354	-6,409	-6,450
Change in net debt	2,950	2,345	-7,845	-10,254
FCF equity	11,575	15,230	14,118	16,137
Balance sheet summary (USDm)				
Intangible fixed assets	79,108	87,561	85,781	84,246
Tangible fixed assets	33,715	32,409	31,483	31,018
Current assets	36,944	35,308	41,376	50,565
Cash & others	30,654	28,036	33,881	42,134
Total assets	151,879	157,306	160,669	167,858
Operating liabilities	48,861	49,708	50,398	53,284
Gross debt	61,260	60,987	58,987	56,987
Net debt	30,606	32,951	25,106	14,853
Shareholders' funds	32,740	38,008	42,681	48,984
Invested capital	70,252	77,533	74,361	70,411

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	7.6	3.7	1.9	5.3
EBITDA	22.3	-7.3	10.1	5.9
Operating profit	26.0	1.6	7.2	13.0
PBT	78.2	3.9	3.9	16.9
HSBC EPS	11.7	5.0	1.1	12.7
Ratios (%)				
Revenue/IC (x)	1.0	0.9	0.9	1.0
ROIC	18.2	13.9	14.2	16.9
ROE	36.6	32.8	29.3	29.2
ROA	8.7	7.0	7.0	7.7
EBITDA margin	24.9	22.3	24.1	24.3
Operating profit margin	17.5	17.2	18.1	19.4
EBITDA/net interest (x)	8.7	8.1	8.4	8.7
Net debt/equity	93.5	86.7	58.8	30.3
Net debt/EBITDA (x)	1.8	2.1	1.5	0.8
CF from operations/net debt	43.1	50.9	62.6	119.4
Per share data (USD)				
EPS Rep (diluted)	11.14	9.59	9.76	11.33
HSBC EPS (diluted)	11.59	12.16	12.30	13.86
DPS	6.71	6.75	6.76	6.76
Book value	35.12	40.36	45.00	51.32

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue growth	8	4	2	5
Non-GAAP operating margin	21	21	22	23
Non-GAAP profit before tax margin	19	20	20	21
Non-GAAP EPS growth	12	5	1	13

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	3.3	3.2	3.0	2.7
EV/EBITDA	13.2	14.4	12.6	11.3
EV/IC	3.2	2.9	2.9	2.9
PE*	17.8	16.9	16.7	14.8
PB	5.9	5.1	4.6	4.0
FCF yield (%)	6.0	7.9	7.3	8.3
Dividend yield (%)	3.3	3.3	3.3	3.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a	Governance Indicators	12/2025a
GHG emission intensity*	n/a	No. of board members	13
Energy intensity*	n/a	Average board tenure (years)	n/a
CO ₂ reduction policy	Yes	Female board members (%)	23.1
Social Indicators		Board members independence (%)	92.3
Employee costs as % of revenues	n/a		
Employee turnover (%)	n/a		
Diversity policy	Yes		

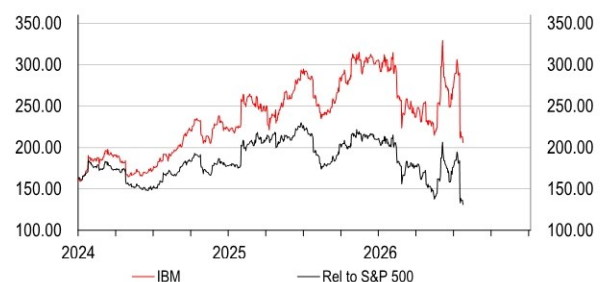
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	205.77	Free float	100%
Target price (USD)	174.00	Sector	IT Services
RIC (Equity)	IBM.N	Country/Region	United States
Bloomberg (Equity)	IBM US	Analyst	Abhishek Shukla, CFA
Market cap (USDm)	193,400	Contact	+971 4 5093343

Price relative



Source: HSBC

Note: Priced at close of 22 Jul 2026

Impressive margin guidance

IBM announced its 2Q26 results on 22 July 2026. The company pre-announced most of the key income statement items on 14 July 2026 but had not updated its full year guidance.

2Q26 revenue rose 1% y-o-y (constant currency) to USD17,161m (1Q26: 6%). The company cut its 2026 constant currency revenue growth guidance to 4%-5% from more than 5% previously.

Despite the cut to revenue growth guidance, the management maintained it expects non-GAAP profit before tax margin to rise by 100bp y-o-y due to higher productivity and efficiency, better supply chain optimization and lower third-party spend. 2Q26 non-GAAP profit before tax margin rose 30bp y-o-y but it was largely a result of a favourable USD280m non-GAAP other income in 2Q26 (2Q25: USD65m). Non-GAAP operating margin dipped 106bp y-o-y to 20.4%. But for the favourable impact of other income, the non-GAAP PBT margin would have been down about 90bp y-o-y.

IBM: Evolution of results

USDm, FYE Dec	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e
Revenue	17,554	14,541	16,978	16,330	19,686	15,918	17,161	16,697	20,248
Software	7,924	6,336	7,387	7,209	9,031	7,052	7,761	7,544	9,423
Consulting	5,175	5,068	5,314	5,324	5,349	5,272	5,327	5,317	5,388
Infrastructure	4,256	2,886	4,142	3,559	5,132	3,326	3,835	3,612	5,234
Other	199	251	135	238	174	268	238	225	204
Revenue: y-o-y	0.5%	0.5%	7.7%	9.1%	12.1%	9.5%	1.1%	2.2%	2.9%
Software	10.4%	7.4%	9.6%	10.5%	14.0%	11.3%	5.1%	4.6%	4.3%
Consulting	-2.0%	-2.3%	2.6%	3.3%	3.4%	4.0%	0.2%	-0.1%	0.7%
Infrastructure	-7.6%	-6.2%	13.6%	17.0%	20.6%	15.2%	-7.4%	1.5%	2.0%
Revenue: y-o-y, constant FX	2.0%	2.0%	5.0%	7.0%	9.0%	6.0%	1.0%	3.8%	3.9%
Software	9.0%	9.0%	8.0%	9.0%	11.0%	8.0%	4.6%	6.2%	5.3%
Consulting	1.0%	0.0%	0.0%	2.0%	1.0%	1.0%	1.1%	1.4%	1.7%
Infrastructure	-3.0%	-4.0%	11.0%	15.0%	17.0%	12.0%	-7.4%	3.0%	3.0%
FX effect	-1.5%	-1.5%	2.7%	2.1%	3.1%	3.5%	0.1%	-1.5%	-1.0%
Operating profit (Non-GAAP)	4,403	2,005	3,641	3,334	5,149	2,505	3,498	3,463	5,326
Margin	25.1%	13.8%	21.4%	20.4%	26.2%	15.7%	20.4%	20.7%	26.3%
Interest expense	-424	-455	-510	-492	-478	-473	-486	-484	-494
Other income (Non-GAAP)	292	188	65	191	75	97	280	242	271
Profit before tax (Non-GAAP)	4,271	1,738	3,196	3,033	4,746	2,129	3,292	3,220	5,103
Margin	24.3%	12.0%	18.8%	18.6%	24.1%	13.4%	19.2%	19.3%	25.2%
Net profit (Non-GAAP)	3,690	1,517	2,652	2,517	4,308	1,821	2,794	2,705	4,287
EPS (Non-GAAP)	3.92	1.60	2.80	2.65	4.52	1.91	2.93	2.83	4.48
y-o-y	1.2%	-4.2%	14.9%	15.5%	15.5%	19.2%	4.8%	6.8%	-0.9%

Source: Company data, HSBC estimates

Disappointing software performance

- ◆ Software segment cc growth slowed to 4.6% from 8% in 1Q26. Organic growth slipped to 0% y-o-y in 2Q26 (1Q26: we estimate 7%). Management cut 2026 cc revenue growth guidance to 6-8% from more than 10% previously. The management flagged that c20% of IBM's software revenue comes from a point in time (as opposed to subscription revenue). A large part of the point in time revenue comes from customers' "capex budget". As customers redirected their capex towards servers/storage/memory, ahead of expected price hikes, IBM's mainframe hardware and point in time revenue faced setbacks. Annual recurring revenue, however, rose 8% y-o-y in 2Q26, suggesting continued strength.
- ◆ The transaction processing subsegment dipped 9% y-o-y (cc) (1Q26: +2%), which we consider largely a timing issue driven by a lumpy revenue recognition cycle as explained in our note [Disappointing preannouncement; limited read across for the broader sector](#) dated 16 July 2026. The management expects low- to mid-single-digit % decline in 2H26 but suggested most of the missing revenue is likely delayed and not lost. The management hinted weak 2026 revenue could help boost 2027 growth.

- ◆ Hybrid cloud subsegment cc growth accelerated to 11% y-o-y in 2Q26 (1Q26: 10%).
- ◆ Data and automation segments however disappointed. Automation segment cc growth slipped to 3% in 2Q26 (1Q26: 7%).
- ◆ Reported growth for the data subsegment accelerated to 19% in 2Q26 (1Q26: 16%). However, growth in 2Q26 likely includes an additional 18-19pp inorganic contribution from the Confluent acquisition that closed on 17 March 2026. The management had previously guided to a constant currency growth of 20-25% in 2Q26. Consequently, we consider the reported growth a significant sequential slowdown. The company blamed the slowdown on a largely lumpy revenue recognition cycle.

IBM: Software segment dynamics

USDm, FYE Dec	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26e	4Q26e
Software	7,924	6,336	7,387	7,209	9,031	7,052	7,761	7,544	9,423
Hybrid cloud	1,774	1,687	1,796	1,886	2,000	1,900	1,994	2,044	2,177
Automation	1,984	1,584	1,883	1,934	2,300	1,700	1,958	1,963	2,346
Data	1,728	1,236	1,499	1,459	2,100	1,500	1,784	1,694	2,375
Transaction processing	2,438	1,828	2,208	1,930	2,631	1,952	2,025	1,843	2,526
Reported Revenue: y-o-y	10.4%	7.4%	9.6%	10.5%	14.0%	11.3%	5.1%	4.6%	4.3%
Hybrid cloud	15.7%	11.7%	16.1%	13.7%	12.7%	12.6%	11.0%	8.4%	8.8%
Automation	11.1%	13.9%	16.2%	23.7%	15.9%	7.3%	4.0%	1.5%	2.0%
Data	4.2%	5.4%	8.8%	7.9%	21.5%	21.4%	19.0%	16.1%	13.1%
Transaction processing	10.7%	0.2%	0.6%	-1.1%	7.9%	6.8%	-8.3%	-4.5%	-4.0%
FX Effect	1.4%	-0.6%	1.6%	1.5%	3.0%	3.3%	0.5%	-1.5%	-1.0%
Revenue: y-o-y, cc	9.0%	8.0%	8.0%	9.0%	11.0%	8.0%	4.6%	6.2%	5.3%
Hybrid cloud	14.3%	13.0%	12.4%	12.0%	8.0%	10.0%	10.6%	9.9%	9.8%
Automation	9.8%	15.0%	14.0%	22.0%	14.0%	7.0%	3.0%	3.0%	3.0%
Data	2.8%	7.0%	7.0%	7.0%	19.0%	16.0%	18.0%	17.6%	14.1%
Transaction processing	9.3%	2.0%	-2.0%	-3.0%	4.0%	2.0%	-9.0%	-3.0%	-3.0%

Source: Company data, HSBC estimates

The management has historically guided for a long-term segment revenue growth rate approaching double digits, including 6-7ppt of organic growth and 2-3ppt of inorganic contribution. We continue to model a long-term revenue CAGR of c7%, in-line with the management organic guidance. We do not model acquisitions that are not yet announced.

IBM software segment: Long-term revenue estimates

USDm, FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Software	25,011	27,086	29,963	31,779	34,288	36,479	39,010	41,849
Hybrid cloud	5,827	6,490	7,369	8,114	9,027	9,999	11,097	12,358
Automation	6,009	6,558	7,701	7,967	8,395	8,898	9,432	9,998
Data	5,462	5,631	6,294	7,353	7,916	8,391	8,894	9,428
Transaction processing	7,714	8,407	8,597	8,345	8,950	9,190	9,586	10,065
Reported Revenue: y-o-y	5.8%	8.3%	10.6%	6.1%	7.9%	6.4%	6.9%	7.3%
Hybrid cloud	8.9%	11.4%	13.5%	10.1%	11.2%	10.8%	11.0%	11.4%
Automation	3.4%	9.1%	17.4%	3.5%	5.4%	6.0%	6.0%	6.0%
Data	4.5%	3.1%	11.8%	16.8%	7.7%	6.0%	6.0%	6.0%
Transaction processing	6.6%	9.0%	2.3%	-2.9%	7.2%	2.7%	4.3%	5.0%
FX effect	-0.3%	-0.1%	1.4%	0.3%	-0.5%	0.0%	0.0%	0.0%
Revenue: y-o-y, cc	6.3%	8.3%	9.0%	6.0%	8.3%	6.4%	6.9%	7.3%
Hybrid cloud	9.3%	11.4%	11.4%	10.1%	11.7%	10.8%	11.0%	11.4%
Automation	4.3%	9.2%	16.3%	4.0%	5.8%	6.0%	6.0%	6.0%
Data	5.3%	3.1%	10.0%	16.4%	8.5%	6.0%	6.0%	6.0%
Transaction processing	6.5%	8.9%	0.3%	-3.3%	7.6%	2.8%	4.3%	5.0%

Source: Company data, HSBC estimates

Infrastructure segment to inflect on distributed infrastructure subsegment growth

Infrastructure cc revenue dipped 7% y-o-y in 2Q26 (1Q26: +12%) as the new z17 series entered its fifth quarter since launch. Typically, revenue from new mainframe series generally begins to decline from the fifth quarter onwards, but the 2Q26 decline of 42% was unusually strong (e.g., z16 revenue was down only 30% y-o-y in 2Q23, its fifth quarter since launch). The management flagged customers were forced to prioritize their capex elsewhere due to rising component costs.

The weakness in the mainframes subsegment was partially offset by a strong distributed infrastructure subsegment where revenue rose 37% y-o-y (1Q26: 13%). Acceleration in growth is partially due to a low base. Revenue slipped 17% y-o-y in 2Q25 (1Q25: -4%).

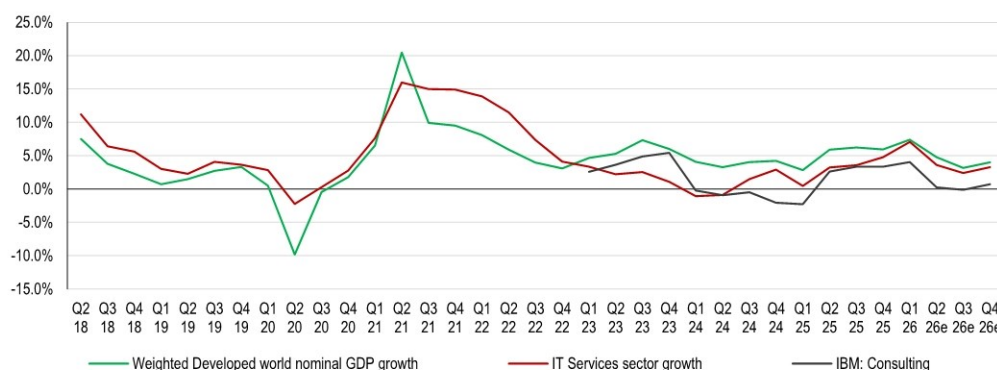
The management now expects infrastructure segment cc revenue to rise by low-single-digit % in 2026 (previously low-single-digit decline). The management flagged strong growth in distributed infrastructure as the foremost driver for the increased growth guidance.

Consulting segment continues to disappoint

Consulting segment cc revenue rose 1% y-o-y in 2Q26 (1Q26: 1%). IBM's consulting segment growth continued to underperform the broader IT services sector. Reported growth of 0.2% lagged the broader IT services 2Q26e reported growth of 3.6%.

The management expects cc revenue growth to accelerate to low- to mid-single-digit for the full year 2026. We are modelling 2H26 cc revenue growth of 1.6% y-o-y (1H: 1%).

IBM consulting segment growth generally underperforms the broader IT service sector



Source: Company data, Visible Alpha consensus, HSBC estimates

Changes in HSBC estimates

There are no material changes to our revenue estimates.

We are increasing our non-GAAP operating profit estimates by 1-2% as we were previously expecting the company to strongly cut its margin guidance along with the revenue growth guidance.

We will, however, focus on the quality of margin improvement and whether it comes from one-off factors. One-off factors such as favourable other income and/or the impact of cheaply acquired historical inventory are unlikely to change IBM's investment merits, while better efficiency and productivity obviously will.

IBM: Changes in HSBC estimates

USDm, FYE Dec	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue							
Old	62,754	67,535	69,562	71,226	74,935	77,453	79,726
New	62,754	67,535	70,025	71,325	75,081	77,548	79,769
% change	0.0%	0.0%	0.7%	0.1%	0.2%	0.1%	0.1%
Non-GAAP operating profit							
Old	11,262	14,129	14,473	15,474	17,096	18,077	18,957
New	11,262	14,129	14,792	15,712	17,391	18,329	19,168
% change	0.0%	0.0%	2.2%	1.5%	1.7%	1.4%	1.1%
Non-GAAP profit before tax							
Old	11,208	12,713	13,057	13,838	15,662	16,531	17,677
New	11,208	12,713	13,744	14,067	15,950	16,825	17,928
% change	0.0%	0.0%	5.3%	1.7%	1.8%	1.8%	1.4%
Non-GAAP net profit							
Old	9,684	10,994	11,033	11,624	13,156	13,886	14,849
New	9,684	10,994	11,607	11,817	13,398	14,133	15,059
% change	0.0%	0.0%	5.2%	1.7%	1.8%	1.8%	1.4%
Non-GAAP EPS							
Old	10.33	11.59	11.56	12.10	13.60	14.27	15.17
New	10.33	11.59	12.16	12.30	13.86	14.53	15.39
% change	0.0%	0.0%	5.2%	1.7%	1.9%	1.8%	1.5%

Source: Company data, HSBC estimates

IBM: Summary sheet

USDm, FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	61,953	62,754	67,535	70,025	71,325	75,081	77,548	79,769
Software	25,011	27,086	29,963	31,779	34,288	36,479	39,010	41,849
Consulting	20,884	20,692	21,055	21,303	21,435	21,558	21,881	22,210
Infrastructure	14,592	14,019	15,719	16,007	14,718	16,159	15,771	14,825
Other	1,466	957	798	935	885	885	885	885
Revenue: y-o-y	2.3%	1.3%	7.6%	3.7%	1.9%	5.3%	3.3%	2.9%
Software	5.8%	8.3%	10.6%	6.1%	7.9%	6.4%	6.9%	7.3%
Consulting	4.1%	-0.9%	1.8%	1.2%	0.6%	0.6%	1.5%	1.5%
Infrastructure	-4.6%	-3.9%	12.1%	1.8%	-8.1%	9.8%	-2.4%	-6.0%
Revenue: y-o-y, constant FX	2.5%	2.8%	5.8%	3.7%	2.3%	5.2%	3.4%	2.9%
Software	6.3%	8.3%	9.3%	6.0%	8.3%	6.4%	6.9%	7.3%
Consulting	6.3%	1.3%	0.8%	1.3%	1.1%	0.6%	1.5%	1.5%
Infrastructure	-5.3%	-1.7%	9.8%	1.6%	-7.5%	9.0%	-1.0%	-6.0%
FX effect	-0.2%	-1.4%	1.6%	0.3%	-0.5%	0.0%	0.0%	0.0%
Operating profit (Non-GAAP)	11,054	11,262	14,129	14,792	15,712	17,391	18,329	19,168
Margin	17.8%	17.9%	20.9%	21.1%	22.0%	23.2%	23.6%	24.0%
Interest expense	-1,607	-1,712	-1,935	-1,937	-2,043	-2,097	-2,102	-2,076
Other income (Non-GAAP)	865	1,658	519	890	398	656	598	836
Profit before tax (Non-GAAP)	10,312	11,208	12,713	13,744	14,067	15,950	16,825	17,928
Margin	16.6%	17.9%	18.8%	19.6%	19.7%	21.2%	21.7%	22.5%
Net profit (Non-GAAP)	8,871	9,684	10,994	11,607	11,817	13,398	14,133	15,059
EPS (Non-GAAP)	9.64	10.33	11.59	12.16	12.30	13.86	14.53	15.39
y-o-y	5.4%	7.2%	12.1%	5.0%	1.1%	12.7%	4.8%	5.9%
Total debt	56,547	54,973	61,260	60,987	58,987	56,987	54,987	52,987
Cash	26,021	27,317	30,654	28,036	33,881	42,134	49,540	57,708
Net debt	30,526	27,656	30,606	32,951	25,106	14,853	5,447	-4,721
Operating cash flow	13,634	9,139	13,193	16,772	15,718	17,737	17,276	18,037
Capex	-1,940	-1,989	-1,617	-1,574	-1,600	-1,600	-1,600	-1,600
FCF	11,694	7,150	11,576	15,198	14,118	16,137	15,676	16,437
Acquisitions	-356	0	-8,294	-10,480	0	0	0	0
Dividends	-6,059	-6,135	-6,254	-6,354	-6,409	-6,450	-6,490	-6,529

Source: Company data, HSBC estimates

Expensive valuation

Comparative valuation using share-based compensation as a real expense

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR 26-28e	PEG 26e
					CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e		
Oracle	ORCL US	Buy	125.84	316.00	24.0	22.3	18.3	12.8	21.1	17.7	15.0	11.6	32.0%	0.70
Apple	AAPL US	Buy	325.89	366.00	41.7	35.4	31.1	28.8	34.7	28.9	25.2	23.0	10.8%	3.27
Adobe	ADBE US	Buy	218.36	308.00	12.9	11.1	9.9	8.9	10.3	9.0	8.0	7.0	11.3%	0.98
Autodesk	ADSK US	Buy	203.50	357.00	38.3	30.1	22.2	19.8	22.6	17.0	14.1	12.0	23.2%	1.30
Amazon	AMZN US	Buy	244.85	310.00	30.8	26.3	23.8	20.0	31.7	25.8	20.5	17.0	14.7%	1.79
Salesforce	CRM US	Buy	163.00	356.00	16.8	15.0	13.6	11.6	15.1	13.6	11.2	9.4	13.5%	1.11
CoreWeave	CRWV US	Reduce	82.64	36.00	-32.3	-18.3	-22.4	-45.6	1,439.3	2,371.3	48.5	25.8	NA	NA
Fair Isaac	FICO US	Reduce	1,221.47	707.00	46.1	28.0	27.3	27.8	33.0	20.8	20.6	21.1	0.4%	71.55
HP	HPQ US	Buy	25.10	29.60	7.9	7.6	7.2	6.5	7.4	7.0	6.7	6.2	7.5%	1.01
IBM	IBM US	Reduce	205.77	174.00	17.8	16.9	16.7	14.8	16.0	15.5	14.2	12.3	6.7%	2.51
Intuit	INTU US	Buy	284.47	707.00	17.3	14.6	12.0	10.6	13.5	10.7	8.2	6.4	17.4%	0.84
Meta	META US	Buy	627.17	905.00	NA	20.0	18.7	15.7	19.1	19.0	16.2	13.4	12.9%*	1.55
Microsoft	MSFT US	Buy	390.34	567.00	25.3	20.9	17.2	14.3	20.1	17.0	13.9	11.4	21.0%	1.00
Palantir	PLTR US	Hold	124.57	151.00	259.4	108.1	71.6	61.0	198.9	83.4	53.6	45.6	33.1%	3.26
SAP (EUR)	SAP GR	Buy	132.04	185.00	21.6	18.7	16.0	14.2	14.6	13.1	10.9	9.4	15.0%	1.25
Snowflake	SNOW US	Buy	267.80	289.00	-80.1	-102.9	-139.3	-170.2	-84.0	-89.0	-112.0	-135.5	NA	NA
SpaceX	SPCX US	Hold	115.26	130.00	-49.0	-164.4	-205.9	-306.6	-83.6	-329.4	-219.5	-393.7	NA	NA
TE Connectivity	TEL US	Hold	200.28	216.00	21.0	17.6	15.6	14.1	17.4	14.2	12.4	13.7	11.9%	1.48
Median					21.6	18.7	16.7	14.2	16.0	15.5	13.9	11.4	19.2%	1.18

Source: LSEG Datastream, Company data, HSBC estimates *Depressed due to one off effects in 2026e

We are cutting our sum of the parts valuation for IBM to USD174 from USD175, despite slightly higher estimates, to reflect a sector-wide derating.

IBM: Sum of the parts valuation

USDm, FYE Dec	Using bottom-up valuation of Quantum business	Using peer multiples for valuing quantum business
Non-GAAP EBIT (2027e)	15,712	15,712
Software	10,564	10,564
Consulting	2,335	2,335
Infrastructure	2,420	2,420
Financing/Other	393	393
Target 2027e non-GAAP EV/EBIT		
Software	10.9x	10.9x
Consulting	6.7x	6.7x
Infrastructure	8.7x	8.7x
Financing/Other	10.0x	10.0x
Target EV	192,546	185,797
Software	115,144	115,144
Consulting	15,647	15,647
Infrastructure	21,079	21,079
Financing/Other	3,925	3,925
Valuation of Quantum computing business	36,751	30,002
Net debt 2027e*	25,106	25,106
Target shareholder equity valuation	167,440	160,690
Number of shares (2027e)	961	961
Target price	174	167

Source: LSEG Datastream, Company data, HSBC estimates *We treat financing receivables as cash equivalent

Software

Our target EV of USD115,144m is 10.9x 2027e non-GAAP EV/EBIT. SAP, a pure play software company, is trading at 10.9x 2027e non-GAAP EV/EBIT. We expect IBM software's non-GAAP EBIT to rise at a CAGR of 10.2% over CY26-30e, in line with 10.3% for SAP. Over 2023-26e, IBM's software non-GAAP EBIT rose at a CAGR of 13.2% vs 21.6% for SAP.

We previously used a target EV/EBIT of 11.3x and have cut this to 10.9x to reflect the sector-wide (and SAP's) derating.

Consulting

Our target EV of USD15,647m is 6.7x 2027e non-GAAP EV/EBIT. Accenture, a close peer for the segment, is trading at 6.7x 2027e non-GAAP EV/EBIT (using Visible Alpha consensus). We expect IBM consulting's non-GAAP EBIT to rise at a CAGR of 3.4% over CY26-30e, slightly below the 4.6% for Accenture. Over 2023-26e, IBM's software non-GAAP EBIT rose at a CAGR of 6.6% vs 5.5% for Accenture. Accenture generally outperformed IBM in revenue growth, but IBM likely did a better job of improving margins on a low base. We estimate IBM consulting's non-GAAP operating margin rose to 10.4% in 2026e from 8.7% in 2023. In comparison, Accenture's non-GAAP EBIT margin improved to 15.8% from 15.5% in the same period.

Infrastructure

Our target EV of USD21,079m is 8.7x 2027e non-GAAP EV/EBIT. We do not have any true peer for IBM's mainframe focussed infrastructure/hardware business. HP is trading at 6.7x CY27e non-GAAP EV/EBIT. We use a 30% premium to HP to be conservative* and because we consider IBM's infrastructure business strategically better and differentiated.

Financially, we consider HP a close enough peer. We expect (and management guides to) a roughly flat revenue trajectory for IBM's infrastructure segment through the cycle. HP's business of selling printers/printer supplies and personal computers is similar. We expect 2025-30e non-GAAP operating profit CAGR of 0.5% (2020-25e CAGR: -1.1%).

**As our rating is Reduce, a higher multiple is conservative*

Quantum computing

We value the business at USD36,751m based on our bottom-up valuation of the quantum computing market/business. Please refer to our note [Downgrade to Reduce: Prefer synthetic IBM to the real one](#), 14 July 2026, for details.

Key upside risks include: better-than-expected success in cutting costs, higher-than-expected revenue from AI and other software offerings, and a better-than-expected macroeconomic and stock market environment.

Disclosure appendix

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Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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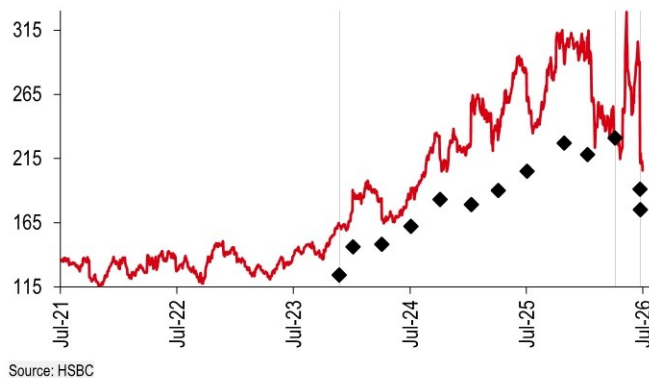
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Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
Sell	5%	(8% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

IBM (IBM.N) share price performance USD Vs HSBC rating history



Rating & target price history

From	To	Date	Analyst
N/A	Reduce	14 Dec 2023	Stephen Bersey
Reduce	Hold	27 Apr 2026	Abhishek Shukla, CFA
Hold	Reduce	14 Jul 2026	Abhishek Shukla, CFA
Target price	Value	Date	Analyst
Price 1	124.00	14 Dec 2023	Stephen Bersey
Price 2	146.00	26 Jan 2024	Stephen Bersey
Price 3	148.00	25 Apr 2024	Stephen Bersey
Price 4	162.00	25 Jul 2024	Stephen Bersey
Price 5	183.00	25 Oct 2024	Stephen Bersey
Price 6	179.00	31 Jan 2025	Stephen Bersey
Price 7	190.00	25 Apr 2025	Stephen Bersey
Price 8	205.00	25 Jul 2025	Stephen Bersey
Price 9	227.00	18 Nov 2025	Abhishek Shukla, CFA
Price 10	218.00	30 Jan 2026	Abhishek Shukla, CFA
Price 11	231.00	27 Apr 2026	Abhishek Shukla, CFA
Price 12	191.00	14 Jul 2026	Abhishek Shukla, CFA
Price 13	175.00	15 Jul 2026	Abhishek Shukla, CFA

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
IBM	IBM.N	205.77	22 Jul 2026	1, 5, 7

Source: HSBC

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